

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MARINE TRANSPORT LOGISTICS, INC., *Complainant*

v.

CMA-CGM (AMERICA) LLC, *Respondent*.

DOCKET NO. 18-07

Served: October 8, 2019

BEFORE: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER GRANTING MOTION TO AMEND COMPLAINT AND DENYING MOTION TO DISMISS

I. Introduction and Procedural Background

On August 23, 2018, Complainant Marine Transport Logistics, Inc. (“Marine Transport Logistics” or “MTL”) filed a complaint alleging violations of the Shipping Act including that Respondent violated 46 U.S.C. §§ 41102(c), 41104(9), and 41104(10), in the shipment and failure to deliver nine containers to Yemen in December 2017.

On September 26, 2018, Respondent CMA-CGM (America) LLC (“CMA”) filed its answer, denying the allegations and raising affirmative defenses.

On October 25, 2018, the parties filed a joint motion requesting a stay of proceedings while the parties pursued mediation with the assistance of CADRS. A limited extension was granted. The parties filed additional status reports and requests for stays on December 14, 2018, February 15, 2019, March 22, 2019, April 22, 2019, and June 6, 2019, indicating that settlement negotiations were ongoing. On May 30, 2019, this proceeding was reassigned to the undersigned. On June 10, 2019, an order was issued denying an extended stay and providing a deadline to file dispositive motions.

On July 10, 2019, Respondent filed a motion to dismiss (“Motion”). On August 6, 2019, Complainant filed an opposition to the motion to dismiss and a cross-motion for leave to file an amended complaint (“Opposition/Amend Cross-Motion”). On August 22, 2019, Respondent filed a reply to the motion to dismiss and opposition to the motion to amend the complaint (“Reply/Amend Opposition”).

For the reasons set forth below, Marine Transport Logistics’ motion to amend the complaint is **GRANTED** and CMA’s motion to dismiss is **DENIED**.

II. Marine Transport Logistics' Motion to Amend the Complaint

Marine Transport Logistics asserts that “there has been no discovery in this case” and that “leave to amend should be freely given,” particularly as the new interpretive rule regarding section 41102(c) went into effect after the complaint was filed.” Opposition/Amend Cross-Motion at 1-2.

CMA argues that MTL should not be allowed to amend its complaint to add allegations that “share no common nucleus of operative fact with the allegations of its Complaint.” Reply/Amend Opposition at 1-3.

Pursuant to Commission Rule 66, amendments to a complaint “will be permitted or rejected, either in the discretion of the Commission or presiding officer.” 46 C.F.R. § 502.66(a). The bulk of the Respondent’s opposition to the motion to amend focuses on why the amended complaint does not cure the issues raised in the motion to dismiss. These arguments will be considered in deciding the motion to dismiss. However, they are not reasons to deny the motion to amend. The proceeding is at the initial stages and discovery has not yet been completed. Legal and factual issues have changed while the proceeding was in mutually requested stays to pursue settlement negotiations. The Complainant has provided a sufficient justification for the requested amended complaint. Accordingly, the motion to amend the complaint is granted.

III. CMA’s Motion to Dismiss the Complaint

A. Arguments of the Parties

CMA contends that the proceeding should be dismissed because the complaint improperly alleges jurisdiction and because the complaint fails to set forth sufficient factual allegations to state a claim for relief for each violation alleged. Motion at 1-2. In its reply, CMA argues that Marine Transport Logistics “failed to plead the facts required to support each of the Shipping Act violations alleged and cannot avoid these fatal flaws by amending its Complaint.” Reply/Amend Opposition at 2.

Marine Transport Logistics asserts that the motion to dismiss should be denied because the issues involve “shipping matters for which FMC is best suited to address and investigate” and the opposition provides factual arguments about why the alleged violations are supported. Opposition at 10.

B. Motion to Dismiss Standard

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. “In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)).

Rule 12(b)(1) permits a party to raise, by motion, lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise, by motion, failure to state a claim. *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 135-36 (citation omitted). “Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit.” *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223-24 (5th Cir. 2012). The party asserting jurisdiction bears the burden of proof if the opposing party raises lack of subject matter jurisdiction. *Branon v. Debus*, 289 Fed. Appx. 181, 183 (9th Cir. 2008) (citing *Lew v. Moss*, 797 F.2d 747, 749 (9th Cir. 1986)).

The Commission explained:

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd., 32 S.R.R. at 136.

“A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 678. The Commission explained:

Courts also construe the factual allegations in the complaint in the light most favorable to the plaintiff and must grant the plaintiff the benefit of all inferences that can be derived from the facts as alleged in the complaint. The Commission need not, however, accept any inferences drawn by Complainants that are unsupported by the facts pleaded in the complaint. Moreover, the Commission need not “accept legal conclusions cast in the form of factual allegations.”

Cornell, 33 S.R.R. at 620-621 (citations omitted). The Commission has clearly indicated that federal case law interpreting Federal Rule of Civil Procedure 12(b)(6), including *Twombly* and *Iqbal*, continues to apply to motions to dismiss filed in Commission proceedings. *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 34 S.R.R. 35, 55 (FMC 2015) (“*Maher*”); *Cornell*, 33 S.R.R. at 620; *Mitsui O.S.K. Lines Ltd.*, 32 S.R.R. at 136.

At this stage, “Rule 12(b)(6) does not require ‘the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible.’” *Maher*, 34 S.R.R. at 58 (quoting *Arista Records LLC v. Doe 3*, 604 F.3d 110, 120-21 (2d Cir. 2010)). Instead, “the complaint’s factual allegations ‘must be enough to raise a right to relief above the speculative level’ and must ‘nudge claims across the line from conceivable to plausible.’” *Maher*, 34 S.R.R. at 57-58 (quoting *Cornell*, 33 S.R.R. at 620). However, “[m]ere labels and conclusions . . . will not suffice.” *Maher*, 34 S.R.R. at 58.

C. Discussion

1. Subject Matter Jurisdiction

CMA contends that the proceeding should be dismissed because the complaint improperly alleges jurisdiction based upon a citation to the United States Carriage of Goods by Sea Act (“COGSA”). Motion at 1. Marine Transport Logistics asserts that the allegations directly impact shipping matters. Opposition at 4.

The amended complaint alleges that the FMC has subject matter jurisdiction because Marine Transport Logistics is a non-vessel operating common carrier (“NVOCC”), CMA is a vessel operating common carrier, and the shipments at issue were, or should have been, transported from the United States to Yemen. Amended Complaint at 1.

Accepting the factual allegations of the amended complaint as true at this stage of the proceeding, Complainant alleges violations of the Shipping Act in the transport and delivery of the containers. Moreover, as discussed below, the alleged violations of the Shipping Act are plausible. Therefore, there is no basis to dismiss the amended complaint for lack of subject matter jurisdiction.

2. Unreasonable Practices (46 U.S.C. § 41102(c))

Section 41102(c) of the Shipping Act provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

According to the Commission’s 2018 final interpretive rule, violation of 46 U.S.C. § 41102(c) requires establishment of five elements:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *see also* Interpretive Rule, Shipping Act of 1984, 83 FR 64478 (Dec. 17, 2018).

CMA asserts that Marine Transport Logistics fails to allege that Respondent engaged in the practices on a normal, customary, and continuous basis, one of the elements required by the

Commission's December 17, 2018, final interpretive rule for 46 U.S.C. § 41102(c). Motion at 4 (referring to 46 C.F.R. § 545.4).

Marine Transport Logistics amended the complaint to add additional facts relevant to whether Respondent engaged in the alleged unreasonable practices on a normal, customary, and continuous basis, for example by adding allegations regarding additional containers and alleging that the length of time that the shipments have been sitting in limbo – over two years – is relevant to whether the practice is normal, customary, and continuous. Opposition at 3-4.

CMA argues that the amended complaint continues to fail to allege sufficient facts to establish a violation that is normal, customary, and continuous. Reply at 2-3.

The amended complaint alleges that “conduct by CMA was systematic and continuous, designed to bill an unreasonable and unsubstantiated amount of demurrage and storage charges and preventing the containers from being delivered to their final destination” and that

Respondent violated Section 41102(c) of the Shipping Act in that such respondent failed to establish, observe, and enforce just reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivery of property by failing to deliver the cargo to the contracted destination; by providing conflicting information as to the country conditions and customs regulations in Yemen, namely the Port of Aden; by failure to set up and observe just and reasonable rules and practices with respect to the assessment of demurrage, detention and storage charged; by failing to provide accurate and complete accounting of detention/demurrage/storage charges; by failing to change the port of destination in a manner that other similarly situated carriers have done, thus allowing an accumulation of demurrage and storage charges; by failing to timely load the cargo, specifically as to subject containers TCLU5063972 and CMAJ5454680, thus allowing an accumulation of demurrage and storage charges.

Amended Complaint at 6.

For purposes of the motion to dismiss, allegations in the amended complaint are presumed to be true. Complainant makes allegations referring to specific containers, ports, and practices. There is no bright line rule regarding the number of shipments which must be alleged or whether an extended failure to deliver is sufficient to support a violation of this section. At this point in the proceeding, the allegations plausibly allege a violation of section 41102(c).

3. Retaliation and Unreasonable Prejudice (46 U.S.C. §§ 41104(a)(3), (9))

Section 41104(a) governs operations by common carriers, including NVOCCs.

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (3) retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason; . . . (9) for service pursuant to a service contract, give any undue or unreasonable

preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port;

46 U.S.C. § 41104(a).

CMA asserts that “the relevant prohibition against imposing any undue or unreasonable prejudice or disadvantage with respect to a port does not apply to the alleged conduct at issue” and that restrictions “imposed on a port due to political instability and civil war are, by nature, neither unreasonable nor undue.” Motion at 5-6.

Marine Transport Logistics asserts that the claim is proper under section 41104(a)(9) and that there may also be a violation of section 41104(a)(3). Opposition at 7. Marine Transport Logistics argues that section 41104(a)(9) does not just protect ports and localities. Opposition at 8.

CMA asserts that section 41104(a)(9) does not apply and that even if it did, Complainant fails to provide the necessary foundation for a successful unreasonable prejudice claim as it has not identified any party that was similarly situated or in a competitive relationship or treated differently. Reply at 3-4. CMA does not address 41104(a)(3).

The amended complaint alleges section 41104(a)(3) violations based on the facts alleged. In addition, the amended complaint asserts:

Respondent violated Section 41104(9) of the Shipping Act in that, such Respondent imposed undue and unreasonable prejudice or disadvantage with respect to the Port of Aden by providing conflicting and vague information with respect to such Port’s political landscape and customs regulations, causing Complainant to rely on such; by failing to ship and divert Complainant’s cargo; by failing to honor the COD submitted by MTL when CMA honored the same COD for other shippers; by causing MTL to sustain unreasonable demurrage/storage charges.

Amended Complaint at 6-7.

While it is not entirely clear that either of these sections apply to the facts of this case, other sections of the amended complaint will require discovery and Complainant will be able to further develop the factual basis for these claims. On the face of the amended complaint, it is plausible that the facts will support a claim under these sections. Accordingly, these sections will not be dismissed at this point in the proceeding. Complainant is reminded that they have the burden to establish violations of each section of the Shipping Act alleged to be violated.

4. Refusal to Deal (46 U.S.C. § 41104(a)(10))

Section 41104(a) also includes a prohibition on refusal to deal: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . (10) unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41104(a)(10).

CMA asserts that Marine Transport Logistics has not alleged that CMA refused to deal or negotiate but has only alleged that the negotiations did not yield the result that Marine Transport Logistics wanted and that the alleged facts are not sufficient to state a claim for a violation of section 41104(a)(10). Motion at 6-7.

Marine Transport Logistics does not directly address this allegation in their opposition.

CMA asserts that Marine Transport Logistics “demonstrates that CMA discussed these shipments with MTL, negotiated a significant discount of charges, and was actively engaged in attempts to find a solution for these shipments.” Reply at 5.

The amended complaint alleges that:

Respondent violated Section 41104(10) of the Shipping Act in that, such Respondent unreasonably refused to deal or negotiate by failing to release the containers even though, upon information and belief, the freight for such was fully paid and MTL was negating in good faith as to the issue of detention/storage charges that continued to accrue for approximately eight [sic] 18 months and continues to date. Additionally, even when Respondent confirmed that it would resume service to the Port of Aden, such bookings were conditional upon separate approval even though MTL already had existing booking in place for such service for which MTL fully paid.

Amended Complaint at 7.

For purposes of the motion to dismiss, allegations in the amended complaint are presumed to be true. Respondent essentially raises factual disputes regarding discussions between the parties. However, the Complainant argues not only that Respondent failed to negotiate in good faith but also alleges that additional burdens were required to secure delivery. At this point in the proceeding, the amended complaint alleges a plausible violation of section 41104(a)(10).

5. Service Contract (46 U.S.C. § 40502(f))

Section 40502 regarding service contracts states:

(f) Remedy for Breach.-Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court. The contract dispute resolution forum may not be controlled by or in any way affiliated with a controlled carrier or by the government that owns or controls the carrier.

46 U.S.C. § 40502(f).

CMA states that the complaint “seeks remedies for an alleged breach of contract, since all shipments at issue were made pursuant to a service contract between CMA and MTL, and therefore must be dismissed pursuant to 46 U.S.C. § 40502(f).” Motion at 2.

Marine Transport Logistics asserts that “CMA fails to produce evidence that all shipments at issue were pursuant to a service contract,” that it is “false” to say that the complaint seeks remedies for breach of contract as the complaint and the amended complaint seek “remedies pursuant to Sections 41102(c), 41104(3), 41104(9) and 41104(10) of the Shipping Act.” Opposition at 10.

CMA replies that it elected not to attach a copy of the relevant service contract to the motion “given the inherently confidential nature of that agreement” but that the service contract was provided to counsel for Marine Transport Logistics and it is referenced on the booking confirmations attached to the reply. Reply at 5.

The amended complaint does not allege breach of a service contract, rather it alleges violations of sections 41102(c), 41104(a)(3), 41104(a)(9), and 41104(a)(10) of the Shipping Act. At this point in the proceeding, the existence of a service contract would not be grounds to dismiss the proceeding where Shipping Act violations are alleged.

C. Conclusion

For the reasons discussed above, CMA’s motion to dismiss is denied. CMA will be required to file its answer to the amended complaint by October 23, 2019. In addition, by October 30, 2019, the parties shall exchange initial disclosures and submit a joint status report with proposed schedule as explained in the initial order issued in this proceeding on September 6, 2018. The joint proposed schedule should complete all discovery and briefing with sufficient time to meet the Commission’s deadline of June 5, 2020, to issue the initial decision in this matter. The undersigned is concerned about the amount of time this proceeding has been pending without progress, particularly in resolving the disposition of the containers still in transit.

IV. Order

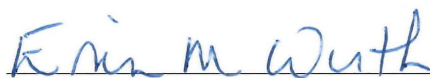
Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that the motion to amend the complaint be **GRANTED**. The Secretary is requested to file the amended complaint attached to Complainant’s opposition to the motion to dismiss and cross-motion for leave to file an amended complaint. It is

FURTHER ORDERED that CMA shall file its answer to the complaint by October 23, 2019. It is

FURTHER ORDERED that motion to dismiss filed by CMA be **DENIED**. It is

FURTHER ORDERED that the parties shall exchange initial disclosures and submit a joint status report with proposed schedule by October 30, 2019.



Erin M. Wirth
Chief Administrative Law Judge